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Whistleblowing: From Regulation to Implementation

Presentation @FH Darmstadt, Engineering Ethics, 30.05.2022

About Me

Business & Economics (B.Sc.), International Area Studies (M.Sc.), Business Law & Economic Law (LL.M.oec.)

PhD @OvGU Magdeburg, Post-Doc @TU Dresden, accounting & business ethics

Head of Working Group on Whistleblower Protection, Transparency International Germany e.V.

selected publications:

Oelrich, S. (2022). I report if they report: The role of media in whistleblowing intentions on fraud and corruption. Research in the Sociology of Organizations. Forthcoming.

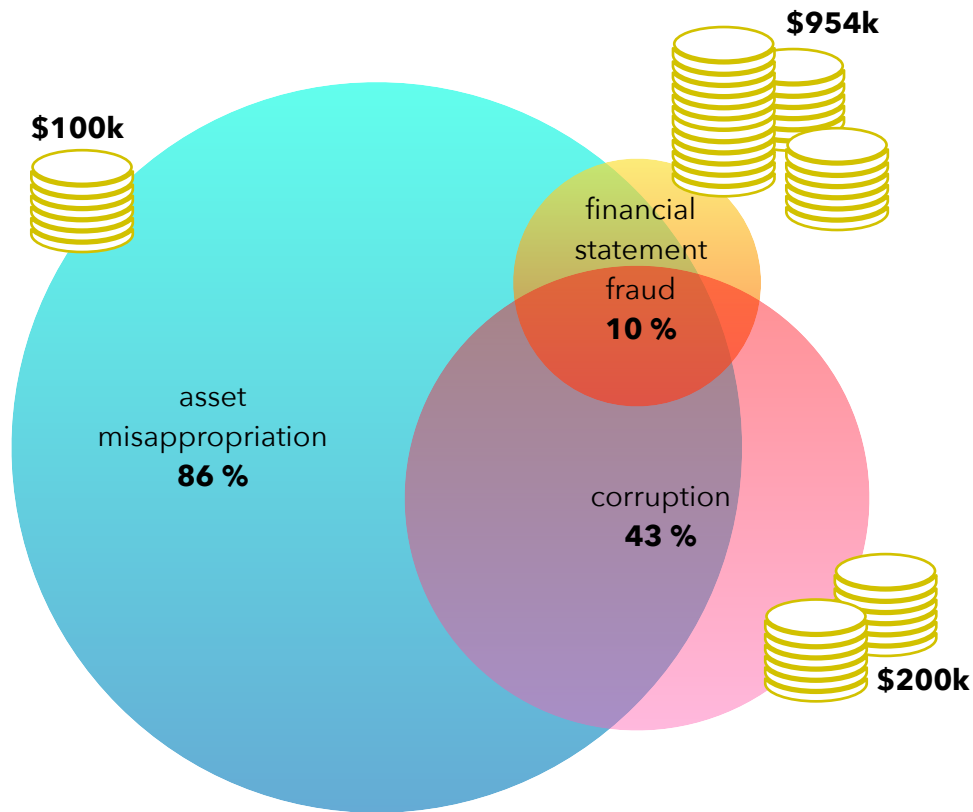
Oelrich, S. (2021): Intention without action? Differences between whistleblowing intention and behavior on corruption and fraud. Business Ethics, the Environment & Responsibility, 30(3), 447 - 463.

Oelrich, S., & Erlebach, K. (2021): Taking it outside: A study of legal contexts and external whistleblowing in China and India. Asian Journal of Business Ethics 10, 129 – 151.

Bussmann, K.-D., Oelrich, S., Schroth, A. & Selzer, N. (2021): The Impact of Corporate Culture and CMS. A Cross-Cultural Analysis on Internal and External Preventive Effects on Corruption. Springer.

Oelrich, S. (2019): Making regulation fit by taking irrationality into account: the case of the whistleblower. Business Research, 12(1), 175 - 207.

Fraud, corruption and misconduct



representation adapted from ACFE (2020)



wirecard



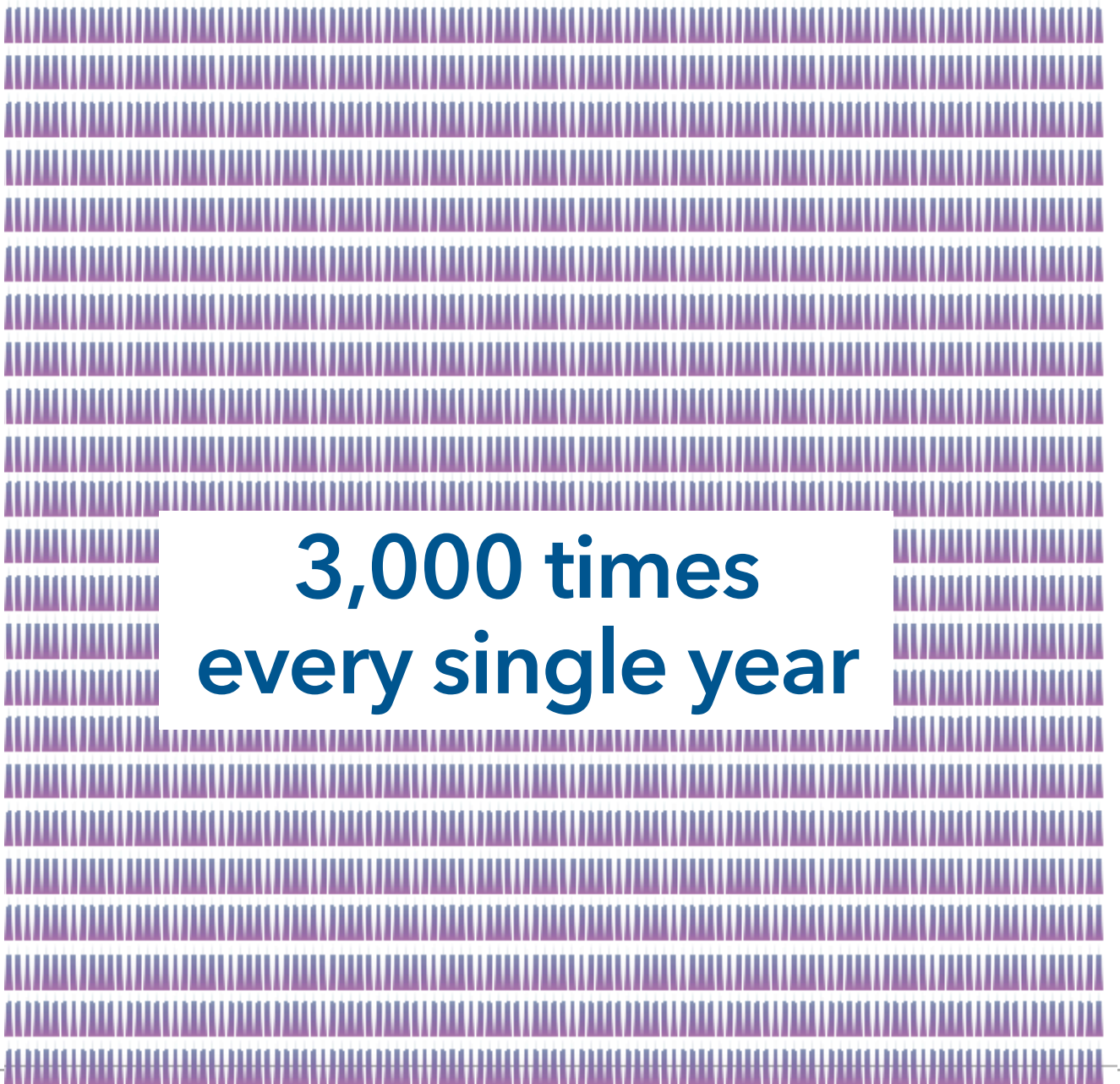
SIEMENS

Costs of fraud and corruption

€ 4.23 trillion
Annually



Burj Khalifa



**3,000 times
every single year**

Diesel emission scandal

31.3 Billion €

in fines and settlements until late 2020
(German: „Milliarden“)

perspective: the new Siemens-Egypt deal is
worth 8.1 billion over 15 years



Source: <https://www.reuters.com/article/us-volkswagen-results-diesel-idUSKBN2141JB>

Misconduct in and by firms

Large financial scandals

Enron - Sherron Watkins (2001)

Worldcom - Cynthia Cooper (2001)

Wirecard - Pavandeep Gill (ab 2016)

Other scandals

BSE Scandal - Dr. Margrit Herbst (1990)

Research misconduct - Prof. Dr. Eberhard Hildt (1997)

Misconduct in patient care - Brigitte Heinisch (2005)

Tax frauds - Wikileaks & Rudolf Elmer (2008)

Rotten meat scandal - Miroslaw Strecker (2009)

VW emission-scandal/Bosch - Karsten vom Bruch (2015)

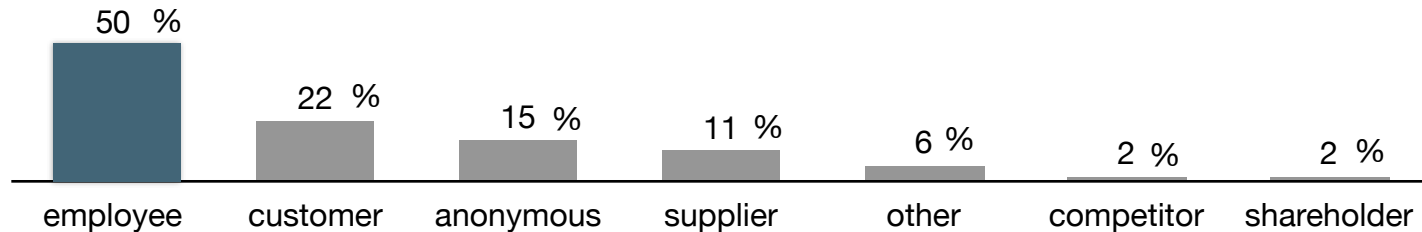
Biontech/Pfizer Studies irregularities in US - Brook Jackson (2021)



Misconduct is uncovered by whistleblowers

43 %

of all cases related to fraud uncovered by tips



Quelle: ACFE (2020)

Whistleblowing (WB) is the primary method to uncover misconduct (Bussmann et al. 2016, Dyck et al. 2010)

Shorter court proceedings, higher monetary sanctions, longer prison sentences (Call et al. 2018)

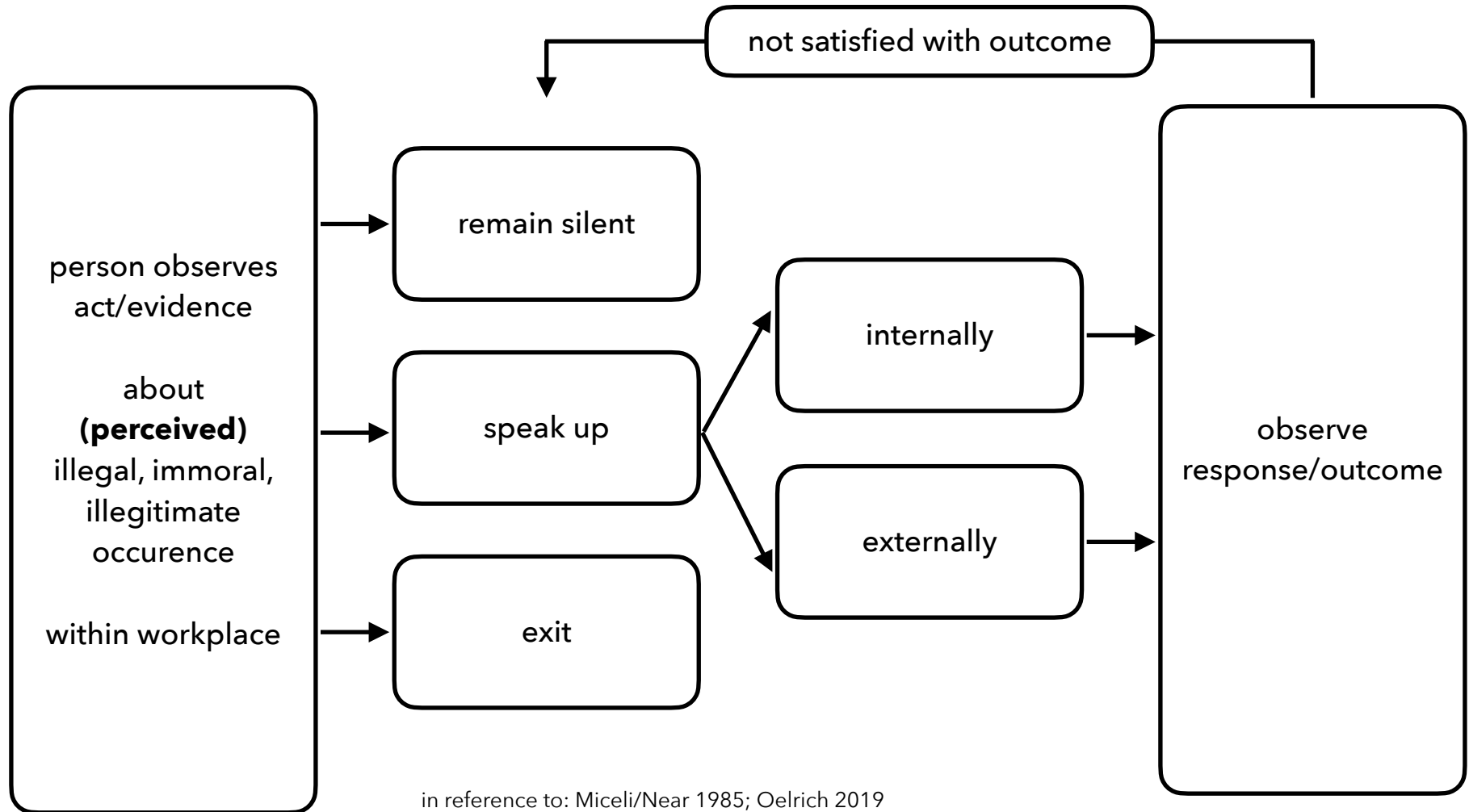
Definition

Whistleblowing is defined as “disclosure by organization members (former or current) of illegal, immoral or illegitimate practices under the control of their employers, to persons or organizations that may be able to effect action.” (Near & Miceli, 1985, p. 4)

I would add (in line with EU directive):

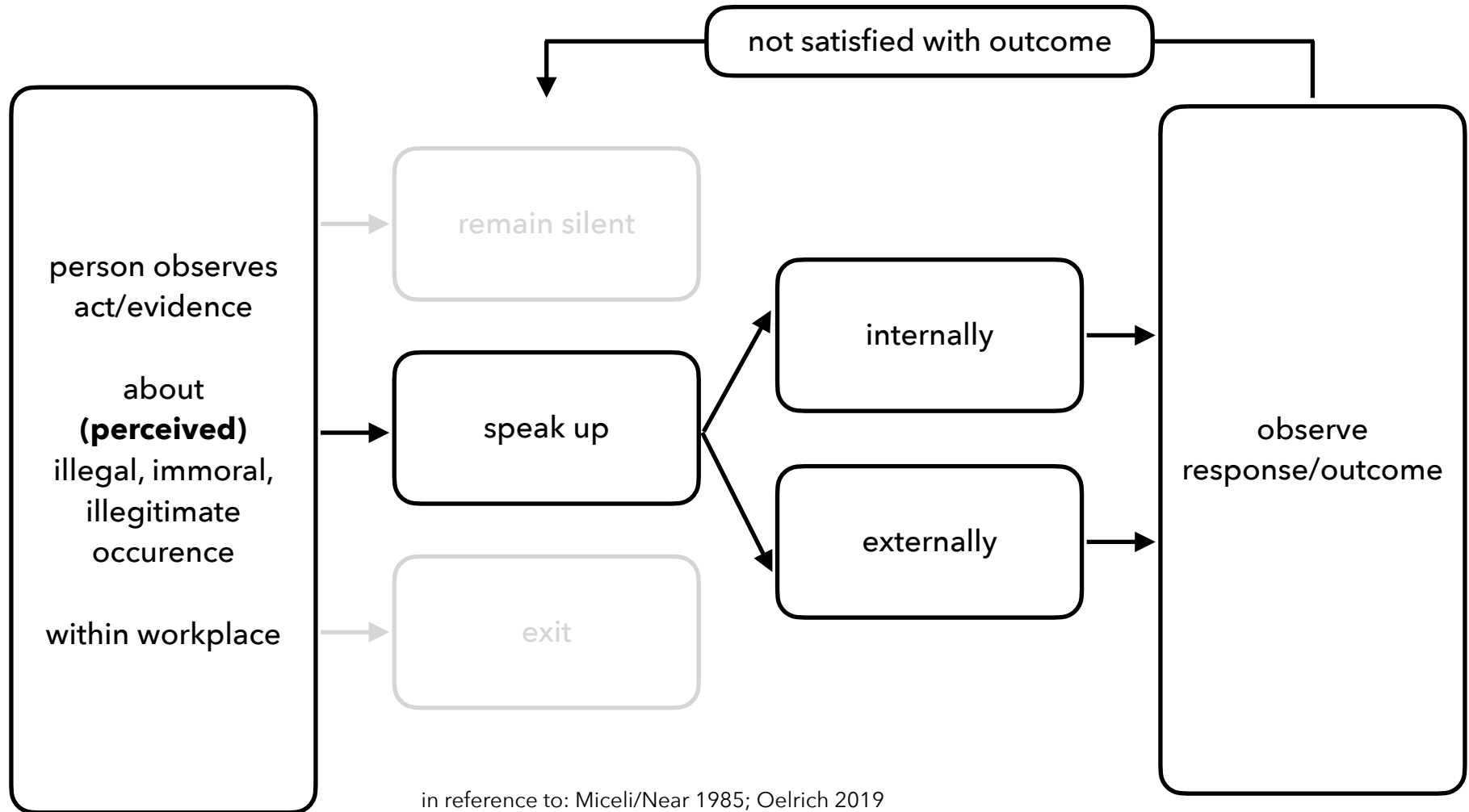
Not only org. members, but also third parties, e.g., suppliers

Whistleblowing process



in reference to: Miceli/Near 1985; Oelrich 2019

Whistleblowing process



in reference to: Miceli/Near 1985; Oelrich 2019

Issue #1: (fear of) retaliation

systematic denunciation of whistleblowers (Kenny et al. 2019)

Cultural prejudices regarding whistleblower, i.e., snitch, traitor (Chwolka & Oelrich, 2020, Oelrich, 2021)

- 82 %** experience harassment
- 60 %** are subsequently fired
- 17 %** lost their home as a result
- 10 %** attempted suicide

➔ lack of proper protective schemes is a main reason for retaliation

Source: Miceli, Near 1992, p. 113, Alford 2001; Park et al. 2020

Legal situation in Germany

no comprehensive legislation

no explicit protection, compensation or financial reward in case of report

external reports may be sanctioned as breach of confidentiality & „loyalty“ towards employer (criminal law, civil code, (trade) secret law)

courts evaluate motive of whistleblower

whistleblowing culture tends to be negative

some exceptions in financial sector in regard to money laundering,

and specific industries (e.g., auditing),

as well as local (county-level) public systems, e.g., Baden-Württemberg

Legal situation in Europe



Source: Oelrich (2019), Fig 2 | Reference is end of 2018

Legal situation in Europe

UK: Public Interest Disclosure Act 1998/2010

- Extensive protection of whistleblowers

Ireland: Protected Disclosure Act 2014

- Extensive protection of whistleblowers

France: Loi Sapin II 2017

- Extensive protection of whistleblowers
- but first internal report necessary

Sweden: Whistleblower protection law 2017

- Some Protection, first internal report necessary, no protection of company internal („company secret“)

EU whistleblowing directive (DIRECTIVE (EU) 2019/1937)

23rd October 2019: Adoption of the EU Whistleblower Protection Directive

17th December 2021 new law must be transposed into national law by the Member States
organizations with 250 employees or more must be ready to comply with the new law

17th December 2023 legal entities with 50 – 249 employees must be ready to comply with the new law

„By reporting breaches [...] that are harmful to the public interest, such persons act as ‘whistleblowers’ and thereby play a key role in exposing and preventing such breaches and in safeguarding the welfare of society. However, potential whistleblowers are often discouraged from reporting their concerns or suspicions for fear of retaliation. In this context, the importance of providing balanced and effective whistleblower protection is increasingly acknowledged“

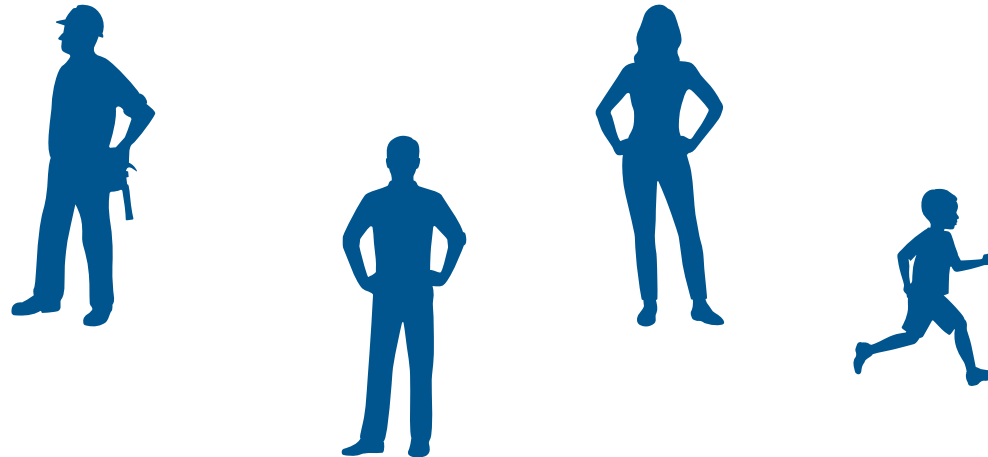
EU Whistleblowing directive - WHO can report?

any employee and third party

in public and private sector

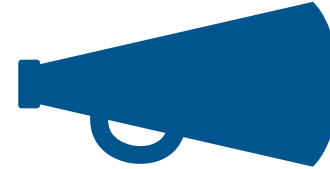
who acquires information on illegal activities in a work-related context

also applies to any supporting party, such as family members and colleagues



EU Whistleblowing directive - to WHOM?

ways to report: **internal, external, media**



- encouraged to use internal channel first
- (no) hierarchical system: whistleblower chooses most appropriate channel
- media may be used in case of immediacy, strong public interest, or lack of trust in other channels

comprehensive **protection from retaliation**

- report needs only be based on information available („reasonable ground to belief“)
- In the public interest (personal motives are irrelevant)
- reversal of burden of proof
- compensation for retaliatory measures



EU Whistleblowing directive - channels

Internal channel implementation

- all private legal entities with 50 or more employees will need to establish secure reporting channels
- all companies operating in specific areas such as financial services, products and markets and companies that are vulnerable to money laundering or terrorist financing
- all public legal entities will also need to comply (e.g., **universities**, local governmental offices)

Governments need to install **external** (central) reporting channels

(also on municipality level due to federal states)

External public channels are any type of public disclosure, esp. media/journalists

EU Whistleblowing directive - channels

internal & external channel requirements:

- Confidentiality of the identity of the whistleblower
- Response times
- Follow-up
- GDPR compliance (data protection)
- record keeping

WHAT is protected? Employee reports on observed ...

NO! sexual abuse at work place

YES! data protection breaches at work place

YES! falsification of financial reports in regard to EU subsidies (e.g., R&D grants)

NO! falsification of financial reports in regard to local subsidies

YES! use of certain illegal fishing gear

NO! mistreatment of nursing home patients

➔ very difficult to know what is „within the scope of the European Union“

EU whistleblowing directive - Pros and Cons

PRO

- minimum standards. similar standards across EU countries
- free choice of channel
- comprehensive protection (shift of burden of proof)
- confidentiality
- information regarding report

CON

- restricted material scope of application & uncertainty regarding scope
- internal system only 50+ employees
- leniency regarding internal channel
- no definition of „reasonable ground to belief“
- no „helpdesk“ for whistleblower, no reward or aid funds

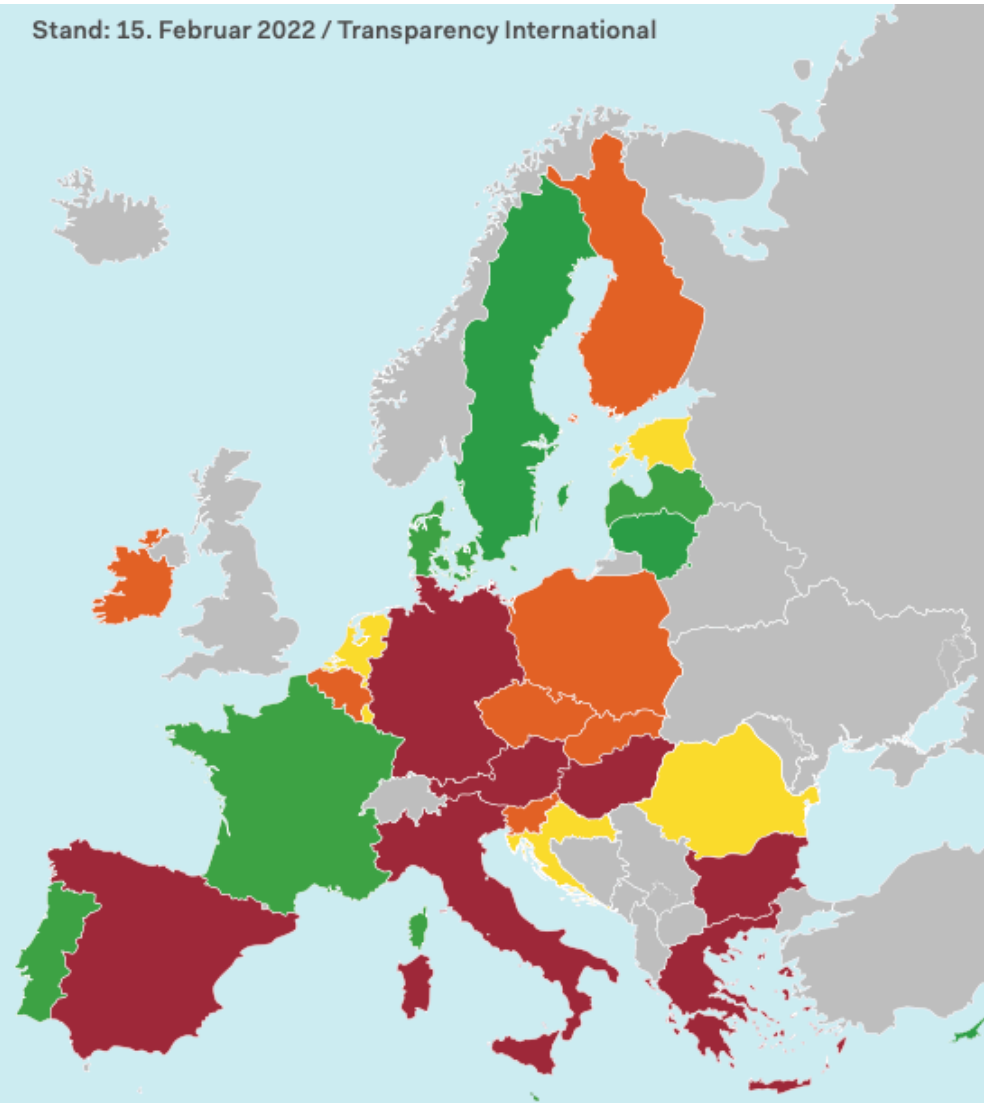
So ... where are we now?

17th December 2021

new law must be transposed into
national law by the Member States

-  **Minimaler oder kein Fortschritt:**
Bulgarien, Deutschland, Griechenland, Italien,
Ungarn, Österreich, Spanien
-  **Gesetzentwurf liegt vor:**
Belgien, Finnland, Irland, Polen, Slowakei,
Slowenien, Tschechien
-  **Gesetzentwurf im Parlament:**
Kroatien, Estland, Luxemburg, Niederlande, Rumänien
-  **Gesetz verabschiedet:**
Dänemark, Frankreich, Lettland, Litauen, Malta,
Portugal, Schweden, Zypern

Stand: 15. Februar 2022 / Transparency International



So ... where are we now?

27th Jan 2022 Commission sent **letters of formal notice** for lack of transposition of the same Directive to the following 24 Member States

Part of infringement packages with monetary sanctions

Handelsblatt

H MEINE NEWS | HOME **POLITIK** UNTERNEHMEN TECHNOLOGIE FINANZEN MOBILITÄT KARRIERE ARTS & STYLE MEINUNG VIDEO SI

Deutschland Konjunktur International Ökonomische Bildung

ndelsblatt > Politik > Deutschland > Vertragsverletzungsverfahren: Whistleblower-Gesetz: Berlin bekommt „Blauen Brief“ aus Brüssel

Suchbegriff, WKN, ISI

VERTRAGSVERLETZUNGSVERFAHREN

Überfälliges Whistleblower-Gesetz: Deutschland bekommt „blauen Brief“ aus Brüssel

So ... where are we now?

Summer 2021: old government draft rejected

September 2021: elections

Coalition included agreement on whistleblowing legislation

- Thorough protection, wide material scope
- Help-desk, support mechanisms/organizations

New draft leaked in **March 2022**

Sent to organizations for comment in April 2022

Opinion on the current draft

DISCLAIMER:

I am head of working group Transparency International Germany e.V.

I am part of the team that responded to the draft

I was in talks with the ministries

My opinions are based on my advocacy work & my research.



Federal Ministry
of Justice



Federal Ministry
for Economic Affairs
and Climate Action

Opinion on the current draft

Spirit of the draft

Whistleblowing protection is thought of as bureaucratic burden
For companies & public authorities

Material scope

Goes further than a 1:1 transposition
Yet, very confusing
Secrecy laws and national security are excluded

Anonymity vs confidentiality

Anonymous reports may be ignored and dismissed
Identity of the whistleblower can easily be disclosed

Opinion on the current draft

Corproate group reporting channels

Holding company vs subsidiary

Draft allows a lone reporting channel on holding level

Support of whistleblowers

No support instances considered

No compensation, help desks, funds considered

Investigation procedures

No regulation/minimum requirements for quality and context of investigations

Especially for internal investigations

„Unified law“

no reference to already existing laws (e.g., supply chain due-diligence law)

What happens next?

All opinions by civil society organizations and lobby-groups are being considered

➔ In particular family firm lobby groups are against the law (opt for 1:1 transposition)

(A revised) draft will be given to ministries

The government wants law before end of summer

To be continued ...

How does whistleblowing relate to ethics?

"Am I doing the right thing? Am I doing something because it is right, or only because it is possible? [...] Do we focus on people with their dignity and in all their facets, or do we only see them as customers, data sources, and surveillance objects? [...] It is part of it that we do not accept wrongdoings as our normality."

- Dr. Angela Merkel, former chancellor, 368th graduation celebration at Harvard University, 2019



Source: Dmitry Kovalchuk | Credit: Getty Images/iStockphoto

What is the reality for firms?

in reality, many companies already have whistleblowing systems in place

they already have to comply with foreign legislation (e.g., US laws)

➔ comprehensive laws will mostly affect the „bad apples“

73 % of firms across all sizes
already have internal whistleblowing channels

Source: Bussmann et al. 2021

23 % Of firms do not establish wb-system of fear that it
fosters a culture of denunciation

Source: Hauser et al. (2019), EQS

Why do companies establish whistleblowing channels?

Wir haben eine Meldestelle eingeführt, weil ...

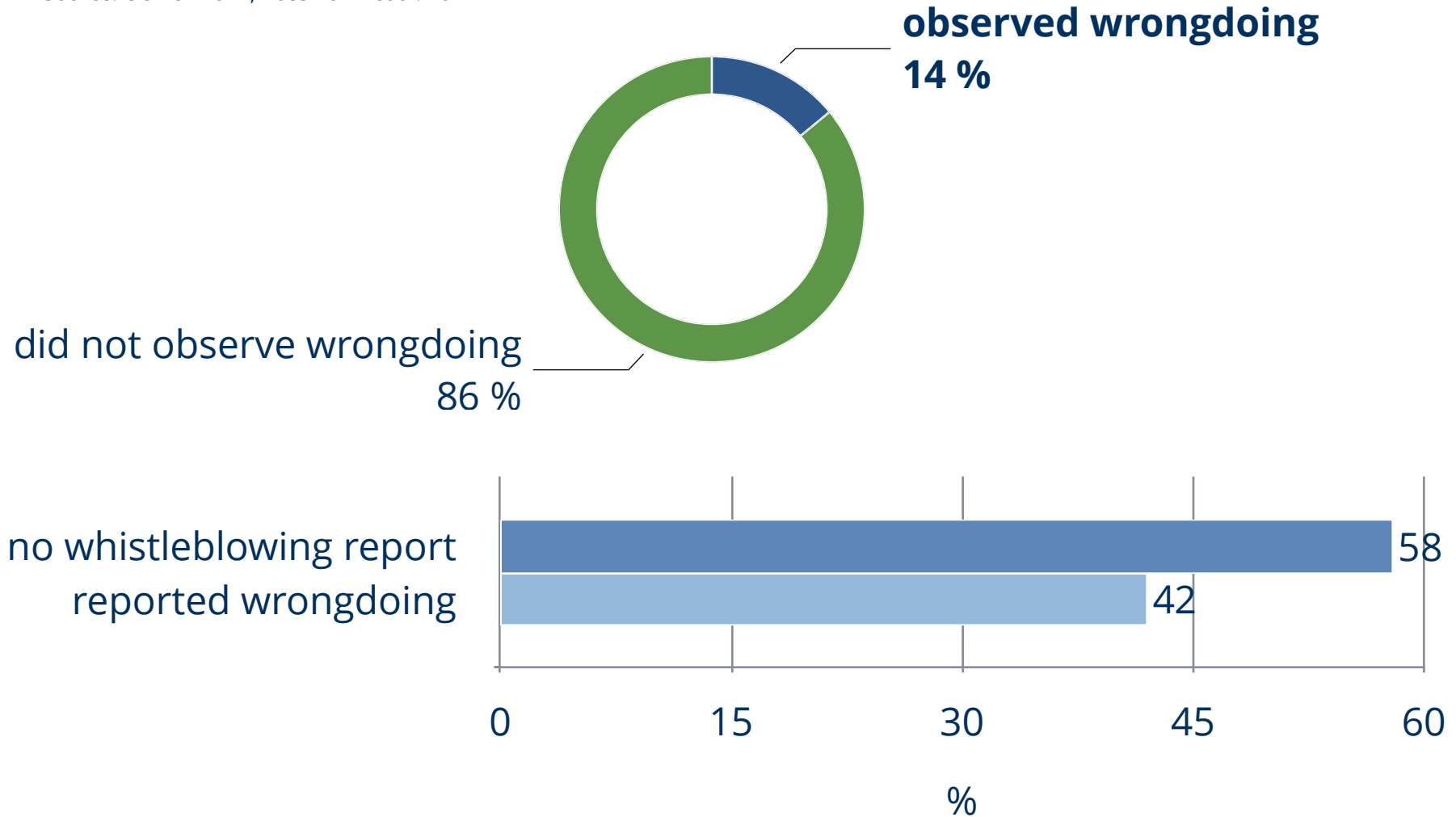
Alle     

- 1 ... wir unser Image als ethisches und integriertes Unternehmen stärken wollen.
- 2 ... wir finanzielle Schäden vermeiden wollen.
- 3 ... wir vom Nutzen und der Effektivität einer Meldestelle überzeugt sind.

Source: Hauser et al. (2019), EQS

Whistleblowing (systems) in corporate practice

Source: Oelrich 2021, Bussmann et al. 2021



Internal systems: Volkswagen Group

Making a report to our Whistleblower System

The Whistleblower System offers various channels to report potential employee misconduct that allow a swift review and reaction by our company if necessary.

ONLINE REPORTING CHANNEL

E-MAIL

24/7 HOTLINE

POSTAL ADDRESS AND IN PERSON

OMBUDSPERSONS

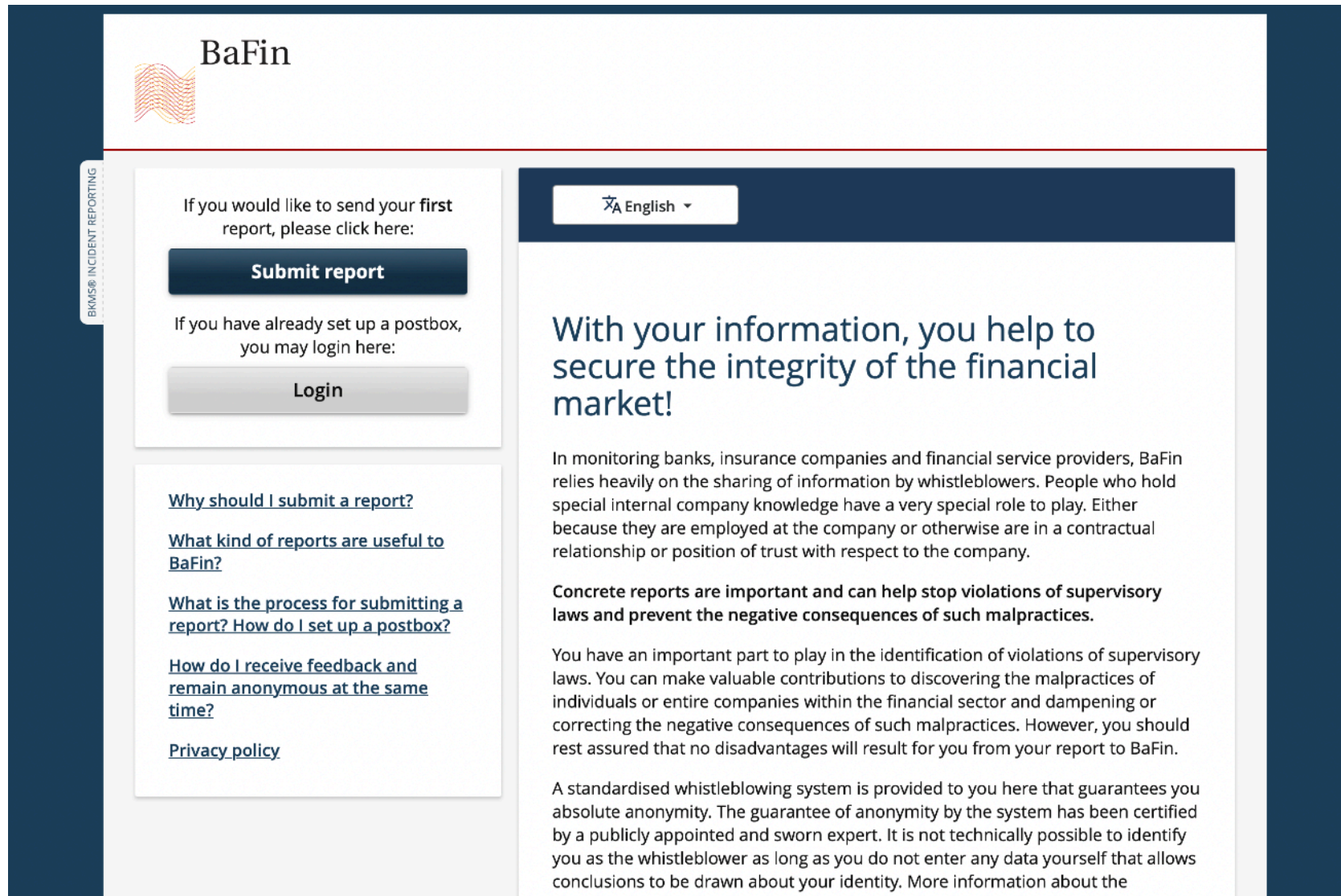
DECLARATION OF DATA PROTECTION

You have the option of using an internet-based communication platform to contact the Investigation Office, exchange documents and conduct a dialog with the lawyers via a separate mailbox. This system is confidential and protected.

Whistleblowers can decide for themselves whether they wish to give their names. If you would like to send a confidential report to the lawyers in the Investigation Office you can use the [secure reporting channel](#) to submit a report.

Important notice: Even if your preferred language is not offered in the reporting channel, you can use any language to submit your report. You can also contact the Central Investigation Office in any language via e-mail or mail.

External governmental systems



The screenshot displays the BaFin (Federal Financial Supervisory Authority) website for reporting incidents. On the left, a vertical sidebar contains the text 'BKMS® INCIDENT REPORTING'. The main content area is divided into two columns. The left column features a 'Submit report' button for first-time users and a 'Login' button for those with a postbox. Below these are several links: 'Why should I submit a report?', 'What kind of reports are useful to BaFin?', 'What is the process for submitting a report? How do I set up a postbox?', 'How do I receive feedback and remain anonymous at the same time?', and 'Privacy policy'. The right column has a language selector set to 'English'. The main heading reads 'With your information, you help to secure the integrity of the financial market!'. The text explains that BaFin relies on whistleblowers to monitor banks, insurance companies, and financial service providers. It emphasizes that concrete reports are important for stopping violations and preventing negative consequences. It also assures that the reporting system guarantees absolute anonymity, certified by a publicly appointed expert, and that no disadvantages will result from reporting.

BaFin

If you would like to send your **first** report, please click here:

Submit report

If you have already set up a postbox, you may login here:

Login

[Why should I submit a report?](#)

[What kind of reports are useful to BaFin?](#)

[What is the process for submitting a report? How do I set up a postbox?](#)

[How do I receive feedback and remain anonymous at the same time?](#)

[Privacy policy](#)

English ▾

With your information, you help to secure the integrity of the financial market!

In monitoring banks, insurance companies and financial service providers, BaFin relies heavily on the sharing of information by whistleblowers. People who hold special internal company knowledge have a very special role to play. Either because they are employed at the company or otherwise are in a contractual relationship or position of trust with respect to the company.

Concrete reports are important and can help stop violations of supervisory laws and prevent the negative consequences of such malpractices.

You have an important part to play in the identification of violations of supervisory laws. You can make valuable contributions to discovering the malpractices of individuals or entire companies within the financial sector and dampening or correcting the negative consequences of such malpractices. However, you should rest assured that no disadvantages will result for you from your report to BaFin.

A standardised whistleblowing system is provided to you here that guarantees you absolute anonymity. The guarantee of anonymity by the system has been certified by a publicly appointed and sworn expert. It is not technically possible to identify you as the whistleblower as long as you do not enter any data yourself that allows conclusions to be drawn about your identity. More information about the

Whistleblowing systems: costs vs benefits?

German ministry of justice estimates **200 Mio. Euro costs** for establishing wb-systems



Consequences of CMS and wb-system in §130 OWiG court proceedings

43 % Faster suspension of investigations

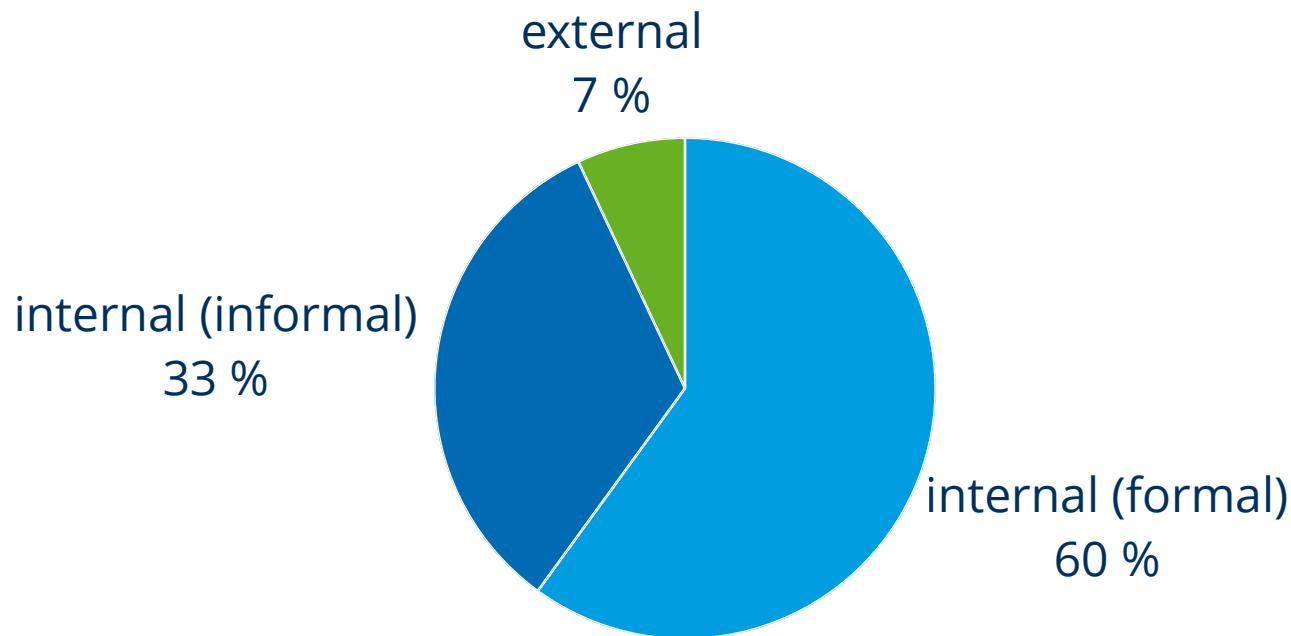
37 % Lower monetary penalty

Source: Bussmann et al. (2018), PwC

Afraid of external whistleblowing?

employees tend to report internally first, before going external!

external reporting is associated with higher fears of retaliation (Oelrich & Erlebach 2021)



legal situation in US

Sarbanes-Oxley Act 2002 (SOX, section 806)

Dodd-Frank Wall Street Reform and Consumer Protection Act 2010 (sections 748 and 922)

internal and external whistleblowing

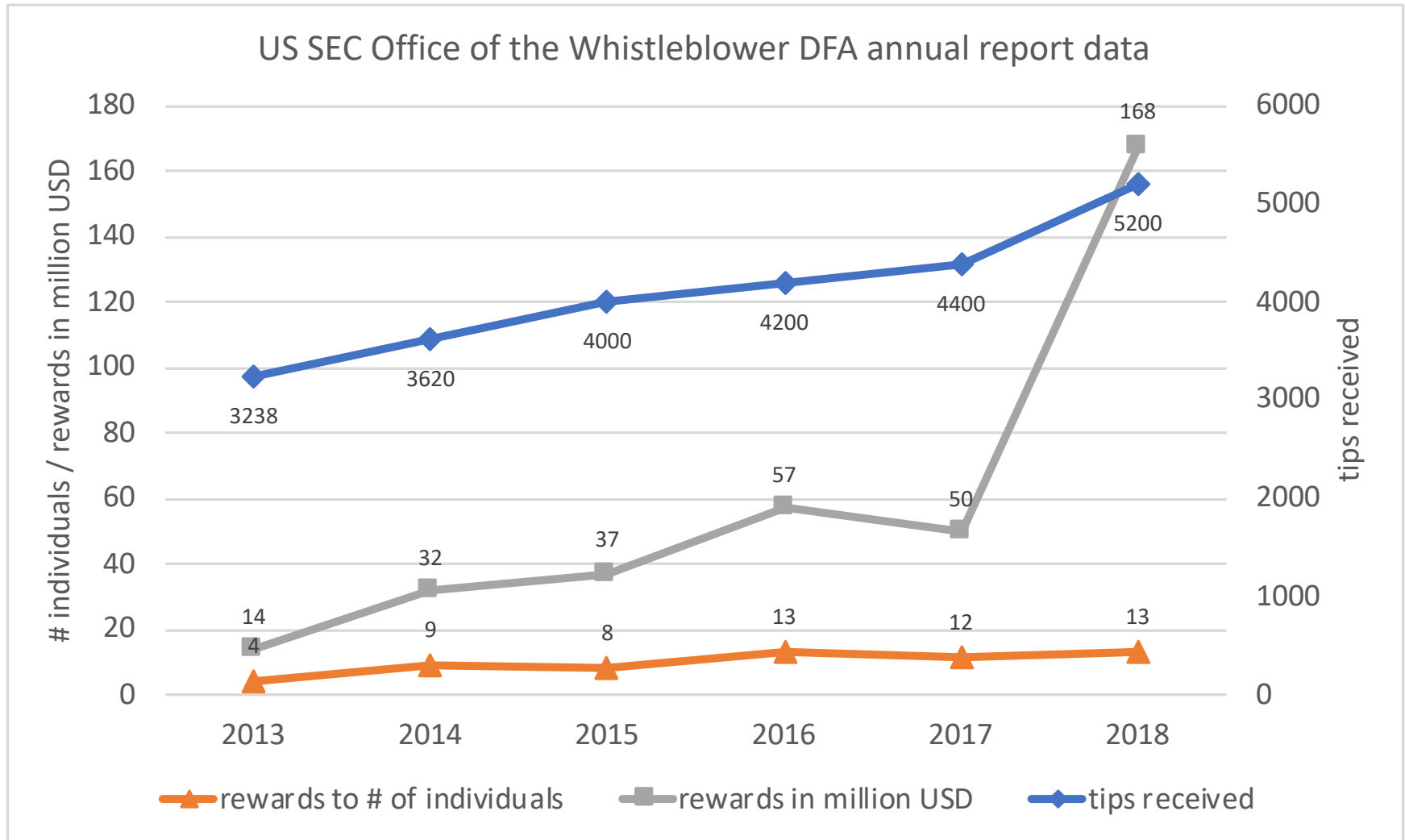
mandatory whistleblowing systems in firms

comprehensive protection from retaliation

anonymous and confidential whistleblowing

in case of SEC whistleblowing: possibility for reward

The US: Bounties for whistleblowing?

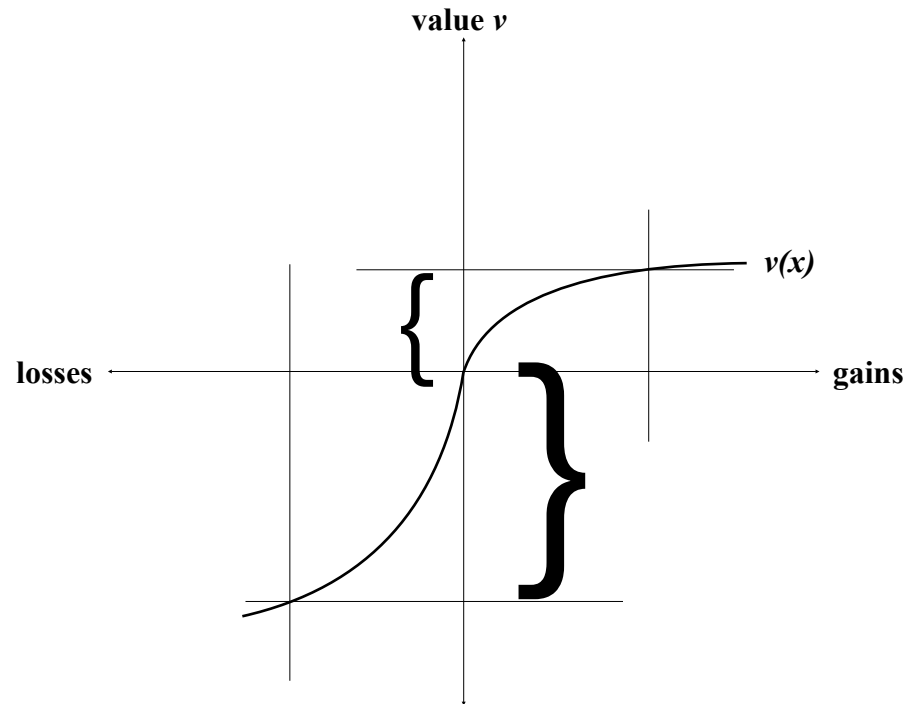


Data source: annual reports of the Office of the Whistleblower to US SEC

Are financial rewards the answer?

Protection from loss is **2.5x stronger motivator than reward**

Or: for every Euro lost through retaliation, we need to reward 2.50 Euro for equal utilities



Oelrich (2019)

Thus it depends: if rewards are perceived as compensation for (possible) retaliation or lack of protection, then: YES!

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